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Auto Dealers Check – Dec '25

Healthy retail momentum; traction to continue in Q4!

INDIA | AUTOMOBILES | SECTOR UPDATE – DEALERS CHECK

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Summarized View

- ***Vehicles retail demand remains healthy across segments after the GST cut, with SUVs and premium models leading growth. Inventory is under control for most OEMs.***
- In two-wheelers, Royal Enfield and TVS are outperforming, while others show stable trends amid rising competition and controlled inventories.
- Passenger vehicle sales continue to favour SUVs, led by Mahindra, with Maruti Suzuki strong in entry to mid-level models; discounts are expected to reduce going forward.
- Commercial vehicles demand is improving steadily, especially in small trucks and tippers, supported by better economic conditions and higher utilization.
- Tractor sales remain strong despite seasonal weakness, driven by rural recovery, subsidies, and favourable farm conditions.
- Overall outlook for the coming months remains positive across all segments. The trend should continue to favor towards premiumization, SUVs & alternate fuel.
- ***We remain positive on Maruti Suzuki, M&M in passenger vehicles, and Eicher Motors in two-wheelers. Within ancillary pack, Lumax Auto Tech is a preferred compounding story.***
- Wholesales among OEMs are expected to experience double-digit growth, driven by sustained retail performance, lesser inventory levels, and a lower comparative base, particularly for Hero MotoCorp and Bajaj Auto, as a result of stock adjustments in December 2024.

Exhibit 1: Wholesales number expectations

Wholesales (Nos in '000)	Dec-25 Est.	Dec-24	YoY (%)
Hero MotoCorp	425.0	324.9	31%
Bajaj Auto	387.8	323.1	20%
TVS Motor	402.1	321.7	25%
Royal Enfield	99.3	79.5	25%
Maruti Suzuki	213.9	178.2	20%
Hyundai	63.3	55.1	15%
Tata PV	50.9	44.3	15%
M&M Auto	87.2	69.8	25%
Tata CV	39.0	33.9	15%
Ashok Leyland	19.5	17.0	15%
VECV	10.0	8.3	20%
M&M Tractors	27.5	22.9	20%
Escorts	6.3	5.5	15%

Source: Company, PhillipCapital India Research

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Two-wheelers

After the GST cut, two-wheeler sales improved across companies, with stronger performance from brands that have a well-rounded product line-up. Royal Enfield is leading the segment, followed by TVS Motor, while Hero MotoCorp and Bajaj Auto are seeing flat to slightly positive retail growth. Competition is increasing due to attractive new models at competitive prices. Discounting is not a major issue, inventories are well managed at less than one month, and the outlook for January-March remains positive. Royal Enfield is expected to continue performing strongly.

Passenger Vehicles

The SUV trend continues to dominate passenger vehicle sales, with Mahindra leading the segment. While small cars have returned to growth, sales are still skewed toward SUVs. For Maruti Suzuki, strong demand is seen in models such as Fronx, Ertiga, Grand Vitara, Brezza, and Victoris, though some small cars face supply constraints. Discounts rose in December as usual but are expected to reduce in January & a likely price hikes ahead. Customers are increasingly preferring premium features, SUVs, and higher safety ratings. The outlook for Q4 is positive, with Mahindra at the premium end and Maruti Suzuki in the entry-to-mid segment being preferred choices.

Commercial Vehicles

Commercial vehicle demand improved further in December, with healthy growth across most segments. Small commercial vehicles are leading the recovery after earlier affordability challenges, while tippers have bounced back following disruptions from extended monsoons. Light commercial vehicles and buses continue steady year-on-year growth, and medium and heavy commercial vehicles are seeing modest single-digit growth. Better economic conditions after the GST cut, along with lower interest rates and improved freight profitability, are supporting higher vehicle usage. Discount levels remain stable, inventories are around one month, and growth prospects remain positive.

Tractors

Despite December being a seasonally weak month, tractor sales showed healthy year-on-year growth. This was supported by the reopening of state subsidies, price cuts after the GST reduction, and strong agricultural fundamentals such as good crop prices, monsoons, and reservoir levels. Rural sentiment remains strong, keeping the outlook positive. Discounts are stable, inventory levels are normal at 45-60 days, and TREM-V regulations are likely to be deferred. Mahindra, Swaraj, Sonalika, and TAFE continue to lead the segment, with Mahindra remaining the clear market leader and the preferred pick.

Consolidated comments from dealers

Maruti Suzuki
Demand remains strong in December, with retail sales growing across segments. However, the sales mix continues to favour compact SUVs *(SUVs growing in double-digit, while small cars in single digit)*. There is some supply shortage, especially for Baleno, Fronx and Grand Vitara CNG. The response to Victoris has been lower than expected due to high competition *(Creta, Seltos, Sierra, etc.)* and the absence of discounts, which customers are seeking. Sales are expected to improve as the model gains more road visibility and as discounting on Grand Vitara reduces from next month. Discounts were increased in December and are likely to continue in January, though at lower levels. Inventory stands at around 20 days. Domestic pricing for eVitara will be announced in January and will be critical for demand. Some price increases are expected in January. Looking at on-ground positivity, expect around 10% YoY growth during January-March as supply of small cars improves and the Victoris gains traction.

Hyundai
Retail sales are growing in double digits. The new Venue has received a strong response, with a waiting period of 6-8 weeks, mainly for mid-variants. Customers find the car spacious, with improved ride quality and a premium look, and there is optimism around a potential 5-star safety rating. Exter sales remain stable, while Creta continues its sales momentum. The i10 and i20 are seen as outdated, with customers expecting more features. The SUV trend continues. Inventory levels are around one month. Checks reveal optimism for the next 2-3 months, supported by GST cut benefits, new launches, discounts, and new customer additions.

Tata Passenger Vehicles
Retail sales improved after a slow start in December, driven mainly by Nexon and Punch. Bookings and response for Sierra have exceeded expectations. Discounts were maintained in December, with no indication of rolling back ex-showroom prices to pre-GST levels. SUV demand remains strong, while sedans are seeing negligible sales. Post GST cut, Tiago sales have improved as buyers who earlier preferred used cars are shifting to entry-level new cars. There are no major waiting periods for any model. Inventory is at a normal level of around one month. The outlook remains very strong due to the successful Sierra launch and expectations of a Punch refresh in Q4.

Mahindra & Mahindra (PV)
Retail sales continue to grow strongly even after the festive season. November was very strong, and December is going positive. Strong model performance, GST cut benefits, good monsoon, and positive rural sentiments are supporting demand. The XUV 7XO *(refreshed XUV700)* launching on 5th January is expected to see strong demand. XEV 9S, the electric version of XUV700, is generating good market interest. Existing EVs are performing steadily, and XEV 9S should further support volumes. Top-selling models include Scorpio & Thar family, and Bolero. Discounts increased slightly in December, which is typical. Inventory levels are well under control at less than one month. SUVs continue to see strong demand, with clear growth visibility at least until March.

Hero MotoCorp
December retail sales were largely flat due to year-end seasonality, inauspicious days *(15 Dec to 15 Jan)*, and sales being advanced immediately after the GST cut. Dealers remain confident of strong growth momentum in Q4, as the GST cut has benefited two-wheelers the most since they are necessity products. Inventory is lower at around one month, discounts are minimal, and a price increase is expected in January 2026. Top-selling models include Splendor, HF Deluxe, Xtreme 125, GlamourX, and Destini 125cc. The outlook for Q4 remains positive as GST benefits continue.

Bajaj Auto
Festival sales showed growth but lagged peers. November was flat, and December is marginally positive. There are no discounts or new model launches to support demand. Competitive intensity is increasing, especially in the 125cc segment. Inventory remains normal at around one month.

TVS Motor
Retail sales are growing in double digits, supported by a strong product portfolio across motorcycles, scooters, and EVs. The growth momentum is expected to continue over the next three months. Top-selling models include iQube, Jupiter, Raider, and Apache. There are no discounts, and inventory levels are around one month.

Royal Enfield
Growth momentum remains strong and is expected to continue in Q4, supported by smaller festivals and new colour variants for Hunter and Meteor. Upgraders are supporting sales post GST cut. The 350cc segment is performing very well *(Meteor, Hunter, Classic, and Bullet)*, while the 450-650cc segment remains stable. Waiting periods for 350cc models are around 25-30 days. Customers are increasingly preferring Meteor over Classic due to tubeless tyres and colour options. Hunter attracts younger buyers, including college students and female riders, due to its lighter weight. Meteor is preferred for daily commuting due to its lower seat height. Inventory is well managed at around 15 days. A price increase of about 1.2-1.5% is expected in January.

Commercial vehicles
Demand improved further in December on a month-on-month basis, with most segments reporting healthy growth. Small Commercial Vehicles, which were earlier impacted by affordability issues, are now leading the recovery. Tippers have regained momentum after being affected by extended monsoons. Light commercial vehicles and buses continue to show steady year-on-year growth, while MHCVs are seeing single-digit growth. Following the GST cut, overall economic conditions have improved, supporting better truck utilisation levels. This is further supported by lower interest rates & improvement in freight & profitability. Growth visibility for the coming months remains positive across all sub-segments. Discount levels remain broadly unchanged, and inventory is stable at around one month.

Tractors
Although December is typically a lean season, year-on-year growth remains healthy. This is driven by the gradual reopening of state-wise subsidies, price reductions following the GST cut, and strong macro factors such as crop prices, monsoon, and reservoir levels. The outlook for the coming months remains positive, supported by strong rural sentiment. Discounts are stable, and inventory levels are near normal at around 45-60 days. As per our checks, TREM-V regulations are likely to be deferred. Mahindra, Swaraj, Sonalika, and TAFE continue to be the leading performers.

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Rating	Criteria	Definition
BUY	>= +10%	Target price is equal to or more than 10% of current market price
NEUTRAL	-10% > to < +10%	Target price is less than +10% but more than -10%
SELL	<= -10%	Target price is less than or equal to -10%.

Mid cap and Small cap stocks

Rating	Criteria	Definition
BUY	>= +15%	Target price is equal to or more than 15% of current market price
NEUTRAL	-15% > to < +15%	Target price is less than +15% but more than -15%
SELL	<= -15%	Target price is less than or equal to -15%.

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